EXECUTIVE SUMMARY

I. Introduction

The Municipality of Iguig, Province of Cagayan was founded by Rev. Ambrocio de la Madre de Dios, O.P on December 8, 1607. It was created as a "Pueblo" along with the earlier towns, where Spanish Encomienderos enjoyed the friendly atmosphere and willingness of residents to embrace Christianity. It is known for its pottery making supplying particularly the whole province.

Iguig is a fourth-class municipality composed of 23 barangays. It is located approximately 16 kilometers away from Tuguegarao City. The agency's vision is to be a self-reliant, productive agricultural community, vibrant in trade and industry and well-known tourist destination where every Iguigueños can live peacefully and prosperously.

The audit covered the accounts and operations of the Municipality of Iguig for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

II. Operational and Financial Highlights

Programs, Projects and Activities completed in CY 2022

The following infrastructure projects of the Municipality of Iguig were completed in CY 2022:

Programs/Projects/Activities		Location	Project Cost
1	Development of Municipal Tree Park	Ajat, Iguig, Cagayan	1,751,000.00
2	Concreting of Farm to Market Road at Barangay Minanga Sur	Minanga Sur, Iguig, Cagayan	500,000.00
3	Improvement of Evacuation Center 2 used as Isolation Facility	Ajat, Iguig, Cagayan	450,000.00
4	Establishment of Children’s Park at Iguig Central School	Ajat, Iguig, Cagayan	1,000,000.00
5	Concreting of Farm to Market Road at Barangay Garab to housing project and quarantine facility	Garab, Iguig, Cagayan	1,000,000.00
6	Concreting of Farm to Market Road at	Baculud, Iguig, Cagayan	500,000.00

Programs/Projects/Activities		Location	Project Cost
	Barangay Baculud		
7	Concreting of Farm to Market Road at Barangay Minanga Norte	Minanga Norte, Iguig, Cagayan	1,500,000.00
8	Concreting of Farm to Market Road at Barangay Sta. Rosa	Sta. Rosa, Iguig, Cagayan	1,000,000.00
9	Concreting of Farm to Market Road at Barangay San Esteban	San Esteban, Iguig, Cagayan	1,000,000.00
10	Construction of Sanitary Landfill at Barangay Garab	Garab, Iguig, Cagayan	7,800,000.00
11	Construction of multi-purpose building at the Iguig Public Market	Ajat, Iguig, Cagayan	4,000,000.00
12	Concreting of Campo Barangay Road	Campo, Iguig, Cagayan	5,000,000.00
13	Concreting of Barangay Road from Campo to Utto Falls	Campo, Iguig, Cagayan	5,000,000.00
14	Construction of perimeter fence for the quarantine facility	Garab, Iguig, Cagayan	1,000,000.00
15	Concreting of Farm to Market Road at Barangay Sta. Teresa	Sta. Teresa, Iguig, Cagayan	500,000.00
16	Construction of perimeter fence (AFP-PNP) Housing project	Nattanzan, Iguig, Cagayan	500,000.00
17	Establishment of multi-purpose building	Ajat, Iguig, Cagayan	500,000.00

The financial information of the Municipality for CY 2022, with comparative figures for CY 2021, are presented below:

Particulars	2022	2021	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	545,278,084.29	420,753,421.45	124,524,662.84	29.60%
Liabilities	239,052,597.41	225,242,320.09	13,810,277.32	6.13%
Government Equity	306,225,486.88	195,511,101.36	110,714,385.52	56.63%
Result of Operations				
Income	191,523,568.15	143,330,143.98	48,193,424.17	33.62%
Expenses	174,605,742.38	132,235,177.28	42,370,565.10	32.04%
Appropriations, Allotments and Obligations				
Appropriations	194,875,586.00	150,673,479.00	44,202,107.00	29.34%
Allotments	194,875,586.00	150,673,479.00	44,202,107.00	29.34%
Obligations	185,551,638.23	139,046,002.90	46,505,635.33	33.45%

The funds received by the LGU and transferred to other agencies for CY 2022, with comparative figures for CY 2021, are shown below:

Fund Transferred to Other Agencies	2022	2021	Increase/ (Decrease)
Local Government Units	23,000.00	23,000.00	-

Fund Transferred from Other Agencies	2022	2021	Increase/ (Decrease)
NGAs	28,846,123.99	91,495,019.27	(62,648,895.28)
GOCCs	602,350.00	-	602,350.00
LGUs	5,000,000.00	100,000.00	4,900,000.00

III. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Iguig for the year-ended December 31, 2022 because these are materially misstated by an aggregate amount of ₱117,429,165.05 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Iguig disclosed misstatements totaling ₱117,429,165.05 in absolute value as follows:

Account	Assets	Liabilities	Revenue/ Expense	Total
Real Property Tax Receivable	₱ 50,443,282.52			₱ 50,443,282.52
Special Education Tax Receivable	28,062,581.15			28,062,581.15
Loans Payable-Domestic		₱ 3,205,411.27		3,205,411.27
Accounts Payable		1,572,354.35		1,572,354.35
Trust Liability-DRRM		719,755.31		719,755.31
Grants and Donations In-Kind			₱ 6,674,552.60	6,674,552.60
Other MOE			26,751,227.85	26,751,227.85
Total	**₱78,505,863.67**	**₱ 5,497,520.93**	**₱ 33,425,780.45**	**₱ 117,429,165.05**

As a result, the following accounts in the financial statements of the Municipality of Iguig were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Real Property Tax Receivable		₱ 50,443,282.52	

Account	Understatement	Overstatement	Observation No.
Special Education Tax Receivable		28,062,581.15	1
Deferred Real Property Tax		39,677,852.42	
Deferred Special Education Tax		28,062,581.15	
Government Equity		10,765,430.10	
Other Structures	₱ 4,777,765.62		2
Loans Payable-Domestic	3,205,411.27		
Accounts Payable	1,572,354.35		
Trust Liability-DRRM	719,755.31		3
Transfer of Unspent Current Year DRRMF to Trust Fund	719,755.31		
Grants and Donations In-Kind	6,674,552.60		4
Drugs and Medicines Expense	6,674,552.60		
Other MOE		26,751,227.85	5
Honoraria	425,100.00		
Welfare Goods Expenses	150,330.00		
Other Supplies and Materials	699,121.75		
Prizes	15,000.00		
Other General Services	9,362,950.00		
Repairs and Maintenance – Machinery and Equipment	141,720.00		
Representation	55,118.00		
Rent Expenses	26,500.00		
Donations	15,875,388.10		
Total	**₱ 51,095,374.91**	**₱ 183,762,955.19**	

IV. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Withheld taxes and premiums/contributions of ₱1,137,577.66, ₱150,588.68, ₱899,738.84, and ₱138,917.61 remained unaccounted and unremitted to the Bureau of Internal Revenue (BIR), Government Service Insurance System (GSIS), Home Development Mutual Fund (HDMF) and Phil. Health Insurance Corp. (PHIC), respectively.

   We reiterated our recommendation that Management require the Municipal Accountant to fully account the unaccounted/unremitted balances of Due to BIR, Due to GSIS, Due to Pag-IBIG and Due to PhilHealth and immediately remit the same to the concerned agencies.

2. The Real Property Tax (RPT) and Special Education Tax (SET) collections of the Municipality totaling to ₱10,935,586.81 exceeded the CY 2022 Bureau of Local Government Finance (BLGF)–approved collection estimates/target for RPT and SET of ₱10,889,300.00 by ₱46,286.81 or .42%, however, compared with the total RPT and SET collectibles of the LGU for CY 2022 of ₱29,436,396.29, there is a significant amount of uncollected taxes of ₱18,500,809.48.

   We recommended that Management instruct the Municipal Treasurer to further intensify tax campaign activities in order to collect the RPT and SET Receivables.

V. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2022:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	10,000,000.00	-	-	10,000,000.00	
Current Year	-	-	-	-	
Total	**10,000,000.00**	-	-	**10,000,000.00**	
Disallowances					
Prior Years	3,236,525.00	-	-	3,236,525.00	
Current Year	-	-	-	-	
Total	**3,236,525.00**	-	-	**3,236,525.00**	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

VI. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

Implemented		12
Not Implemented	2	
Not Implemented and Reiterated in CY 2022 AAR	8	10
Total		**22**